7. INCOME TAXES

The Company's operating results through June 30, 1999 were included in the consolidated income tax returns of The Vitamin Shoppe. Through June 30, 1999, The Vitamin Shoppe did not allocate to the Company its share of income tax liabilities or benefits attributable to the Company's proportionate share of operating results. Since July 1, 1999, the Company is no longer included in the consolidated income tax return of The Vitamin Shoppe and, therefore, the Company's income tax provisions have been calculated on a separate return basis.

Since the capitalization of the Company on July 1, 1999, when the Company ceased to be part of The Vitamin Shoppe's consolidated group, losses generated are available to offset any future taxable income for 20 years. Deferred tax assets normally recorded to reflect the future benefit may or may not be shown as realizable, depending on the Company's ability to demonstrate the likelihood of future profitability.

As of December 31, 1999, the Company has a net operating loss carry forward that, if utilized, provides a future tax benefit of approximately $10.3 million at an effective tax rate of 40 percent. Due to the uncertainty of the realization of this net operating loss carry forward in the future, the Company has provided a valuation allowance to offset this deferred tax asset.

Included in the statement of operations for the year ended December 31, 1999 is an income tax provision that consists of minimum state taxes.